# OfBusiness: Business Financing and B2B Commerce :

## Introduction :

: OfBusiness is an Indian technology-driven company that operates in the areas of business financing and B2B (Business to-Business) commerce. It was established in 2016 with the objective of addressing some of the major challenges faced by small and medium-sized enterprises (SMEs), particularly difficulties in obtaining working capital and sourcing raw materials efficiently. OfBusiness follows a unique business model that combines digital commerce with financial services. Through its B2B commerce platform, the company helps businesses procure essential raw materials and industrial products such as steel, chemicals, agricultural products, polymers, and other commodities. By connecting buyers with suppliers, OfBusiness aims to simplify procurement and make business transactions more efficient. A major part of its business model is business financing. Many SMEs face difficulties in obtaining timely credit from traditional financial institutions because of documentation requirements, limited credit history, or delays in loan processing. OfBusiness provides financing solutions designed to support businesses with their working-capital requirements, helping them manage purchases, payments, and day-to-day operations. The integration of financing and commerce is one of OfBusiness's important

features. Instead of treating purchasing and financing as separate activities, the company combines them into a single ecosystem. This can help businesses obtain the materials they require along with access to financial support, making the procurement process smoother. Technology plays an important role in OfBusiness's operations. Digital platforms and data-driven processes are used to understand business requirements, facilitate transactions, and support credit assessment. This technology-oriented approach helps reduce traditional barriers and improves the speed and convenience of B2B transactions. OfBusiness primarily focuses on SMEs and emerging businesses, which form an important part of the Indian economy. By providing access to both commerce and finance, the company contributes to improving the ability of smaller businesses to purchase inputs, manage cash flows, and expand their operations. Overall, OfBusiness represents the integration of fintech and B2B commerce, where technology is used to connect businesses with suppliers and financial services. Its business model demonstrates how digital platforms can address financing and procurement challenges while creating a more connected and efficient business ecosystem.

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## Objectives:

➢ To understand the business model of Of Business

➢ To study the role of Of Business in B2B commerce

➢ To understand the challenges faced by Of Business

➢ To evaluate the future prospects of Of Business

➢ To analyze the contribution of Of Business

Review of Literature:

Berger and Udell (2006) – SME Financing Berger and Udell examined the different sources and methods of financing available to small and medium-sized enterprises. Their research highlighted that SMEs often face difficulties in accessing traditional bank finance because of limited collateral and financial information. The study provides a useful background for understanding the importance of alternative financing platforms such as OfBusiness.

Beck, Demirgüç-Kunt and Maksimovic (2008) – Access to Finance Beck and his co-authors studied the financial constraints faced by firms, particularly smaller businesses. Their findings indicated that limited access to finance can restrict business growth and investment. This literature is relevant to OfBusiness

because its financing model attempts to address working-capital requirements of businesses.

World Bank (2017) – SME Finance The World Bank highlighted the importance of improving access to finance for small and medium enterprises. It noted that appropriate financial services can support business expansion, employment and productivity. Digital financial platforms can potentially make financing more accessible and efficient.

Gomber, Koch and Siering (2017) – Digital Finance Gomber, Koch and Siering discussed the transformation of financial services through digital technologies. Their work explained how technology is changing traditional financial services and creating new ways for businesses to access financial products. This provides a theoretical foundation for studying OfBusiness as a technology-enabled financing platform.

Philippon (2016) – FinTech and Financial Services Philippon examined the development of financial technology and its potential to improve the efficiency of financial services. The study suggested that technological innovation can reduce transaction costs and improve access to financial products. This is relevant to the technology-driven financing approach used by modern fintech companies.

OECD (2020) – Financing SMEs and Entrepreneurs The OECD studied financing conditions for SMEs and entrepreneurs and emphasized the importance of diversified financing options. The

research showed that businesses need timely access to finance to manage working capital and support growth. This literature supports the importance of alternative financing solutions in the SME sector.

Asian Development Bank (2020) – MSME Finance The Asian Development Bank highlighted the financing gap faced by micro, small and medium enterprises in developing economies. It emphasized the need for innovative financial solutions to improve access to capital. The study is relevant to OfBusiness because its services are aimed at addressing financing and procurement requirements of businesses.

World Economic Forum (2020) – Digital Transformation The World Economic Forum discussed how digital technologies are transforming businesses and supply chains. Digital platforms can improve connectivity between buyers and suppliers and make business transactions more efficient. This concept is closely connected with the B2B commerce model.

India Brand Equity Foundation (IBEF) – Indian E commerce and B2B Market IBEF's studies on India's e-commerce sector highlight the rapid growth of digital commerce and the increasing adoption of online platforms by businesses. The development of digital infrastructure and internet-based transactions has created opportunities for B2B marketplaces and technology-driven business services.

OfBusiness – Integrated Financing and B2B Commerce Model
OfBusiness represents an integrated approach in which business financing and B2B commerce are connected through a technology platform. Its model demonstrates how businesses can use digital platforms for procurement while also obtaining financing support. This approach is particularly relevant to SMEs that require both efficient procurement and working capital.

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## Company Profile

OfBusiness is an Indian fintech and B2B commerce platform that provides business financing and procurement solutions to small and medium-sized enterprises (SMEs). The company combines technology, credit facilities, and B2B commerce to help businesses manage their working capital and purchase raw materials and other products. Its digital platform enables businesses to access financing and procure products through a simplified and technology-driven process.

## History and Development in India

The B2B commerce and business financing industry in India has grown rapidly due to the expansion of small and medium-sized businesses, increasing digital adoption, and the demand for easier access to working capital. OfBusiness was established in

2016 with the objective of addressing the financing and procurement challenges faced by SMEs. Over time, the company expanded from business financing into B2B commerce and procurement services. Its technology-based approach has helped businesses access credit, purchase materials, and manage their business requirements through a single platform.

## Business Model

OfBusiness follows a technology-enabled business model that combines B2B commerce with business financing. The platform connects businesses with suppliers and provides financing support for their working-capital requirements. It helps SMEs procure products such as raw materials, construction materials, agricultural products, and other business supplies. The company uses technology and data-based assessment to simplify the financing process and improve access to credit for businesses.

## Revenue Model

OfBusiness earns revenue through:

- Interest income from business financing and credit services.
- Margins earned from B2B product sales.
- Fees and charges associated with financial services.
- Service income from procurement and supply-chain solutions.
- Partnerships with businesses and financial institutions.
- Value-added business services.

# Analysis

## SWOT Analysis

### 1. Strengths

• Integrated business financing and B2B commerce platform.

• Technology-driven credit assessment and business operations.

• Focus on small and medium-sized businesses.

• Simplified access to working capital.

• Wide range of products and procurement solutions.

### 2. Weaknesses

• Dependence on the financial performance of SME customers.

• Credit risk associated with business financing.

• High operational requirements for B2B supply chains.

• Dependence on technology and digital infrastructure.

Exposure changes in business demand.

### 3. Opportunities

• Growing demand for SME financing in India.

• Expansion of digital lending and B2B commerce.

• Increasing adoption of technology by small businesses.

• Expansion into rural and semi-urban business markets.

• Development of AI and data analytics for credit assessment.

### 4. Threats

• Intense competition from fintech and B2B commerce companies.

• Changes in lending and financial regulations.

• Cybersecurity and data privacy risks.

• Credit defaults and economic uncertainty.

• Supply-chain disruptions and market volatility.

## PESTLE Analysis

Role of OfBusiness in Promoting Business Financing and B2B Commerce PESTLE analysis is a strategic framework used to examine the Political, Economic, Social, Technological, Legal, and Environmental factors that influence an industry or business. For business financing and B2B commerce platforms, PESTLE analysis helps understand the external factors that support or challenge the growth of digital business services in India.

### 1. Political Factors

(i) Government initiatives supporting MSMEs encourage business growth and formalisation.

(ii) Digital India promotes technology-based business and financial services.

(iii) Government schemes for MSME financing improve access to credit.

(iv) Policies supporting digital payments encourage B2B transactions.

(v) Financial inclusion initiatives support the participation of small businesses in the formal financial system.

## 2. Economic Factors

(i) Growth of the Indian economy increases demand for business financing.

(ii) Increasing number of MSMEs creates opportunities for B2B commerce platforms.

(iii) Availability of working capital helps businesses expand their operations.

(iv) Interest rate changes influence borrowing and financing decisions.

(v) Inflation and changes in raw-material prices affect business procurement and financing requirements.

## 3. Social Factors

(i) Increasing awareness of digital financial services encourages businesses to adopt online platforms.

(ii) Small businesses increasingly prefer convenient and faster financing solutions.

(iii) Growing digital literacy supports the use of B2B platforms.

(iv) Changing business practices encourage online procurement and digital payments.

(v) Increased awareness of formal credit facilities helps SMEs reduce dependence on informal sources of finance.

### 4. Technological Factors

(i) Artificial Intelligence and data analytics can improve business credit assessment.

(ii) Digital platforms simplify business financing and procurement processes.

(iii) Cloud computing improves scalability and platform efficiency.

(iv) Digital payment systems make B2B transactions faster and more convenient.

(v) Strong cybersecurity systems protect business and financial information.

### 5. Legal Factors

(i) RBI regulations influence digital lending and financing activities.

(ii) MSME and financial regulations support transparency in business financing.

(iii) KYC and AML requirements help prevent financial misuse.

(iv) Data protection regulations safeguard customer and business information.

(v) Regulatory compliance helps improve trust in digital financial platforms.

### 6. Environmental Factors

(i) Digital documentation reduces paper consumption.

(ii) Online procurement can reduce the need for physical documentation and travel.

(iii) Technology-based supply-chain management can improve resource efficiency.

(iv) Businesses are increasingly adopting sustainable procurement practices.

(v) Digital platforms can support the growth of environmentally responsible business practices.

## Findings

The study shows that OfBusiness has contributed to the development of business financing and B2B commerce in India by combining financial services with digital procurement solutions. Its technology-enabled platform helps small and medium-sized businesses access working capital and procure business materials through a simplified process. The growth of MSMEs, digital payments, internet connectivity, and government initiatives supporting financial inclusion has created favorable conditions for the expansion of digital business platforms.

OfBusiness also demonstrates how fintech can be integrated with B2B commerce to address business financing and procurement requirements. Technology-based credit assessment,

digital transactions, and online procurement can improve convenience and efficiency for businesses. However, challenges such as credit risk, cybersecurity, regulatory compliance, market competition, and supply-chain disruptions remain important factors for sustaining long-term growth.

## Conclusion

The growth of business financing and B2B commerce has transformed the way small and medium-sized businesses access finance and procure products in India. OfBusiness represents a technology-driven model that combines business financing, B2B commerce, and digital solutions to support business requirements. Both the PESTLE and SWOT analyses indicate that government support for MSMEs, technological development, increasing digital adoption, and growing demand for working capital have created opportunities for platforms operating in this sector. At the same time, companies need to manage challenges such as credit risk, regulatory changes, cybersecurity threats, and increasing competition. By focusing on technology, responsible financing, customer trust, and efficient B2B services, platforms such as OfBusiness can contribute to the growth of India's MSME sector and digital economy

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